Investor Expectation Curve

Milestones by funding stage

PROFESSIONAL DEFINITION

The Investor Expectation Curve maps the milestones investors expect at each funding stage, from seed through growth rounds, clarifying what a company must demonstrate to raise the next round.

WHO DEVELOPED IT

A construct from venture-financing practice describing stage-appropriate expectations.

WHY IT WAS DEVELOPED

It was developed to align founders' progress with the evidence investors require at each stage.

FIGURE 1 · INVESTOR EXPECTATION CURVE

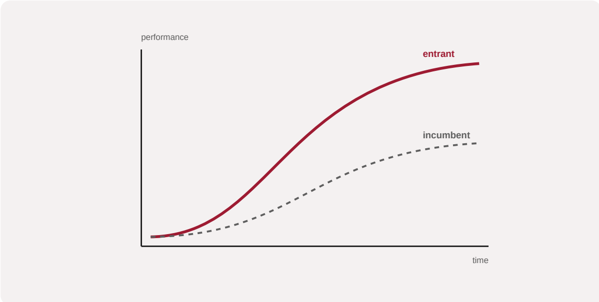

Figure 1. A schematic of the Investor Expectation Curve as applied in BARBM312 (illustrative).

HOW IT IS USED

The company's stage is matched to expected milestones; the gap defines what must be achieved before the next raise.

WHEN IT IS USED

During fundraising planning across stages.

BY WHOM IT IS USED

Founders, investors and finance leaders.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It makes stage-by-stage investor expectations explicit, helping AI ventures time and target their raises.

RELATED FRAMEWORKS IN THIS COURSE

- **AI Startup Valuation Stack** · Slibrary 25
- **Cost-Structure Lens** · Slibrary 25
- **Rule of 40** · Slibrary 25
- **Strategic Asset Map** · Slibrary 25

SOURCES (HARVARD REFERENCING STYLE)

Feld, B. and Mendelson, J. (2019) Venture Deals. 4th edn. Hoboken: Wiley.

Gompers, P. and Lerner, J. (2004) The Venture Capital Cycle. Cambridge: MIT Press.